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FEDERAL MARITIME COMMISSION

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 15-08

GENERAL MOTORS LLC

Complainant,

v.

**NIPPON YUSEN KABUSHIKI KAISHA;
WALLENIUS WILHELMSSEN LOGISTICS AS; and
EUKOR CAR CARRIERS INC.**

Respondents.

**JOINT MOTION AND MEMORANDUM FOR APPROVAL
OF SETTLEMENT AGREEMENT, DISMISSAL WITH PREJUDICE
OF THE COMPLAINT AGAINST
WALLENIUS WILHELMSSEN LOGISTICS AS AND EUKOR CAR CARRIERS, INC.,
AND TREATMENT OF SETTLEMENT AGREEMENT AS CONFIDENTIAL**

I. INTRODUCTION

Pursuant to Federal Maritime Commission Rules of Practice and Procedure 72, 91, and 5, 46 C.F.R. §§ 502.72, 502.91, and 502.5, Complainant General Motors LLC ("GM") and specially appearing Respondents Wallenius Wilhelmsen Logistics AS ("WWL") and EUKOR Car Carriers, Inc. ("EUKOR") (collectively, GM, WWL, and EUKOR are the "Settling Parties") jointly move for: (1) approval of the Confidential Settlement Agreement and Mutual Release (the "Settlement Agreement"); (2) dismissal of the Complaint against WWL and EUKOR with prejudice; and (3) an order that the Settlement Agreement be held confidentially by the Presiding Judge and the Commission and barred from public view or disclosure.

The Settlement Agreement is separately filed under seal as **CONFIDENTIAL EXHIBIT "A."** A Joint Motion to Seal Confidential Settlement Agreement is filed concurrently.

II. STATEMENT OF FACTS

GM commenced this proceeding by filing its Complaint on September 2, 2015. The Settling Parties and specially appearing Respondent Nippon Yusen Kabushiki Kaisha ("NYK") jointly moved for a stay pending a ruling in the U.S. District Court for the District of New Jersey as to whether the prior dismissal of certain class action cases applies to GM's complaint filed in *General Motors LLC v. Nippon Yusen Kabushiki Kaisha et al.*, MDL No. 2471, Case No. 15-cv-04739-ES-JAS (D.N.J.). The Presiding Judge granted the requested stay on January 5, 2016.

In the interim, the Settling Parties engaged in good-faith and arms-length settlement negotiations in light of the anticipated substantial costs of continued litigation and the uncertainties inherent in the outcome of complex litigation. Specifically, the Settling Parties concluded that each stands to face the substantial costs of further litigation associated with voluminous documentary discovery, numerous depositions, expert discovery related to GM's alleged damages, briefing of complex issues of law, a trial of disputed facts, and appeals. Consequently, the Settling Parties have entered into the Settlement Agreement. The Settlement Agreement was negotiated and entered into after good-faith negotiations and with the benefit of legal counsel.

On July 18, 2016, GM filed a voluntary dismissal with prejudice pursuant to *Fed. R. Civ. P.* 41(a) of all of its claims pending in the U.S. District Court against WWL and EUKOR; a true and correct copy of that notice of voluntary dismissal with prejudice is attached hereto as **EXHIBIT "B"** and is made a part hereof by reference.

III. ARGUMENT

A. The motion to approve the Settlement Agreement and dismiss the complaint against WWL and EUKOR with prejudice should be granted.

The motion to approve the Settlement Agreement and dismiss the above-captioned proceeding with prejudice as to WWL and EUKOR should be granted. It is “well settled that the law and Commission policy encourage settlements and engage in every presumption which favors a finding that they are fair, correct, and valid.” *Old Ben Coal Co. v. Sea-Land Service, Inc.*, 18 S.R.R. 1085, 1092 (A.L.J. 1978); accord *American Stevedoring, Inc. v. The Port Authority of New York and New Jersey*, No. 10-05, 2011 WL 7144009, *1 (ALJ Oct. 27, 2011) (Notice Not to Review served Dec. 2, 2011); *Smartstone Private Limited v. General Noli USA, Inc.*, No. 1946(F), 2015 WL 4537579, *2 (A.L.J. July 22, 2015) (same) (Notice Not to Review Served Aug. 24, 2015). The Commission finds settlements especially supportable when the parties are confronted with the prospect of expensive further litigation and uncertainty as to the outcome. *Celanese Corp. v. The Prudential Steamship Co.*, 20 S.R.R. 27, 30 (A.L.J. 1980). That is because “[r]eaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *Smartstone*, No. 1946(F), 2015 WL 4537579 at *3 (quoting *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (F.M.C. 2009)). Nonetheless, the Commission does not approve settlement agreements if the agreement would violate the law or policy, or is infected by fraud, duress, undue influence, mistake, or other defects. *Id.* at *2; *Old Ben Coal*, 18 S.R.R. at 1093.

The Settlement Agreement negotiated by the Settling Parties, with the advice and assistance of their counsel, is reasonable and not inconsistent with any law or policy. The

Settling Parties have carefully considered the costs, benefits, and risks of further litigation, and have concluded that settlement is in their mutual interests. Similarly, the Settlement Agreement—an agreement between and negotiated by sophisticated business entities—was reached in good faith and is free of fraud, duress, undue influence, mistake, or any other defect that would bar its approval. Consequently, the Settling Parties respectfully request that the Settlement Agreement be approved and that all of GM’s claims against WWL and EUKOR in the above-captioned proceeding be dismissed with prejudice.

B. The Settling Parties request that the Settlement Agreement be treated as confidential.

The Settling Parties also request that the Settlement Agreement be held confidentially by the Commission. Parties may request confidentiality of a document under Commission Rule 5. 46 C.F.R. § 502.5. As the Commission has held, “[i]f parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Smartstone*, No. 1946(F), 2015 WL 4537579 at *3; *American Stevedoring*, 2011 WL 7144009 at *2 (quoting *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, No. 00-04, 2000 WL 1920488, *3 n.7 (ALJ Sep. 15, 2000)); *Kawasaki Kisen Kaisha, Ltd. v. Intercontinental Exchange, Inc. and Ignacio Gomez*, 29 S.R.R. 227, 227-29 (ID 2001); *Marine Dynamics v. RTM Line, Ltd.*, 277 S.R.R. 503, 504 (ID 1996).

Under the terms of the Settlement Agreement, the Settling Parties must keep the terms of the Settlement Agreement confidential. This confidentiality requirement is an important and necessary element of the Settlement Agreement; it could be compromised by a breach of such confidentiality. The Settling Parties therefore respectfully request that the Commission keep the unredacted copy of the Settlement Agreement confidential. Because the entire Settlement Agreement is confidential, the Settling Parties have not filed a public version of the Settlement

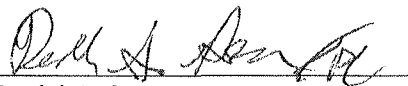
Agreement. Commission precedent provides that settling parties need not file a public version of a settlement in such circumstances. *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, No. 13-07, 2015 WL 1928868, at *6 (FMC Apr. 14, 2015) (concluding that parties had complied with FMC Rule 5 even though “[n]o public version of the Agreement has been filed, as the parties seek to have the entire Agreement treated confidentially”). Where, as here, the Settling Parties “want to maintain confidentiality of the Settlement Agreement as it contains terms setting out the settlement amount, as well as terms governing the release of all claims related to the controversy involved” and there is no “public interest in disclosure of the settlement amount or the terms of the release of the involved claims, that outweighs the Parties’ interest in maintaining the confidentiality of these terms,” the agreement should be held confidentially. *Id.* at *7.

IV. CONCLUSION

For the reasons above, the Settling Parties respectfully request that (1) the Presiding Judge approve the Settlement Agreement; (2) that Wallenius Wilhelmsen Logistics AS and EUKOR Car Carriers Inc. be dismissed with prejudice; and (3) the Settlement Agreement be treated as confidential.

Dated: July 25, 2016

Respectfully submitted,

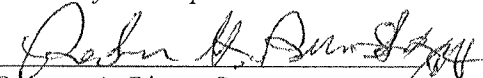


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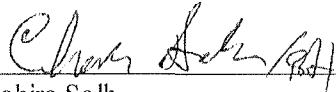
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*Counsel for Specially Appearing Respondents
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EUKOR Car Carriers Inc.*

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document on all parties of record by electronic mail, and submitted a copy via U.S. mail to each such person.

DATED: July 25, 2016



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EXHIBIT B

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**UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF NEW JERSEY
NEWARK VICINAGE**

In Re:
Vehicle Carrier Services
Antitrust Litigation

This Document Relates to:

GENERAL MOTORS LLC v.
NIPPON YUSEN KABUSHIKI
KAISHA, et al.

Case No. 15-cv-04739-ES-JAD

Master Docket No.: 13-cv-3306
(MDL No. 2471)

**NOTICE OF VOLUNTARY DISMISSAL WITH PREJUDICE OF
DEFENDANTS WALLENIUS WILHELMSSEN LOGISTICS AS,
WALLENIUS WILHELMSSEN LOGISTICS AMERICAS LLC, AND
EUKOR CAR CARRIERS, INC. PURSUANT TO F.R.C.P. 41(a)(1)(A)(i)**

Pursuant to Rule 41(a)(1)(A)(i) of the Federal Rules of Civil Procedure,
Plaintiff General Motors LLC, by and through its counsel, hereby gives notice that

it voluntarily dismisses from the above-captioned action Defendants Wallenius Wilhelmsen Logistics AS, Wallenius Wilhelmsen Logistics Americas LLC, and EUKOR Car Carriers, Inc. with prejudice. This voluntary dismissal does not affect the rights or claims of General Motors LLC against any other Defendant or Co-Conspirator in the above-captioned action.

Dated: July 18, 2016

Respectfully submitted,

s/ Chahira Solh

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Counsel for Plaintiff General Motors LLC

*So Ordered -
G. Hughes, USDJ
7/19/16*